

Targets were 39, 42, and 56, which are locations of overhead resistance set up by prior peaks, with support at 32, which is just below the low at D.

I think the 39 target is because it's in the corrective phase of the measured move. That's often an easy target to reach.

- Lesson: After the measured move completes, use a climb back to the corrective phase as part of a short-term swing trade.

As the trade progressed, an ascending broadening wedge formed at F. I describe a trade using that pattern in [Chapter 12](#), Broadening Wedges, Ascending.



Figure 46.4 This measured move up led to a profitable trade.

After a choppy beginning where the wedge appeared, the stock started trending and climbed all the way to G. Here's my notes on the sale: "14 September 2013. Sell reason: This has reached my sell target of 56. I'll sell half and see what happens to the other half. According to [a report from analysts at] Ford, the stock is trading at the top of the 5-year high-low PE [price/earnings ratio] band. PSR [price/sales ratio] is 0.47 but near the top (0.50) of the 5-year high-low band. Vickers [says] insiders are selling. None are buying, but the amounts, for the most part, are small."